

relationships are the most important aspect." Such Zen hits upon the most important aspect of this business. Cyber cafes are about people, and people warm up to good relationships. Invariably, you will find a brisk crowd goes hand-in-hand with a smile and a warm atmosphere to feel at home in.

Jack was lucky with his real-estate. You sell your cow for five beans and pray that the soil is kind. A fertile ground sprouted an excellent business opportunity of golden eggs—giants notwithstanding. Similarly, Beenstalk enjoys an enviable locale: smack in the middle of a residential-cum-commercial area. Customers are guaranteed. Add to that the comfort of an air-conditioned interior, snacks and drinks an order away, and an amiable staff. When Bhushan Kadam started his cyber cafe, it was the first in Vashi (New Bombay). "I had been to Australia where I saw the concept. I had a plan to set up a gaming zone, but it never materialized. Beenstalk caters to a mostly business audience, we serve food and people can eat, drink and enjoy their work with samosas and vadas." The largely business clientele means that he is somewhat immune to the price cuts other cafes have had to employ to retain customers. "If you offer good speeds, people don't care about money. There is no point in lowering my Rs 30 per hour charge. In the present scenario the air-conditioning costs more than the Internet connection. My AC bill averages about Rs 9,000 per month,



Vishal Kandoi
Cupid's Nest

// People do come here to see pornographic content, but I discourage the habit //

as opposed to my Internet average of Rs 5,000." Moreover, his location softens the slack periods that other cafes experience, "My business has always fluctuated between Rs 2,000 to Rs 3,000 per day. I wouldn't say that things have reached a plateau but there is a need for some new technology, or something similar to spur growth. Technology is always slow to visit Vashi." Like Iqbal, Bhushan also believes that there is more to his business than mere bandwidth. "Someone might offer better speeds than I do, but it is all about relationships."

Flight or Fight

The big boys have entered the game. Satyam Infoway's Sify initiative, Tata Infocomm and Reliance's WebWorld offerings are the biggest players in the commercial space of cyber cafes. Regardless of the provider, these seek to offer a uniform experience across towns, cities and states—similar speeds, similar services and similar prices. Such is the thought, and the execution follows that line of thinking. The cyber cafe owners that we spoke with were hesitant to sacrifice their identity to such a corporate setup, but most entrants to the business go the franchise route: the profits are decent and the risks involved, minimal.

So with a multi-crore muscle looking for a piece of the cafe pie, should the entrepreneurs take fright? "There is an 8 per cent service tax under proposal for cyber cafes. That, in addition to the high cost of purchasing or renting space, especially in the cities, makes competition cut-throat; prices are forced down; bills, especially for electricity and technology, are large money sinks." Yogesh paints a realistically gloomy picture, while Shailesh, his friend and colleague, adds a stroke of the inevitable: "When Reliance comes in, and everyone gets cheap access to the Internet, cafes that offer only surfing are bound to close down." Ask Iqbal about the business at hand and he quips with characteristic

Franchise this

"I did approach Satyam Online. They wanted to rename my cafe, but I wanted to maintain the identity of Cupid's Nest, which is why I rejected their offer. They were willing to pay all online charges but profits would be split 30 to 70 per cent in their favour. They sell packages in the form of clocked cards. A track is kept of the number of cards sold. The money thus earned is split up"

Vishal Kandoi, Cupid's Nest

"I tried to tie up with ISPs, but the cost is too much"

Bhushan Kadam, Beenstalk

"Tata Indicom did approach us. The Net service would be provided by them, and the profits would be shared 60 to 40 per cent, split in their favour. We were not interested; it would have been managed by them, which we did not want. We wanted to maintain our identity."

Dhiraj Gejria, FastMindz

humour, "I don't think it has much life left. The business is good but there is a lot of *"Reliance aa raha hai"*. People were talking of Reliance 3 years ago, and I was warned not to invest in a cafe. I have yet to see their service. Their mobiles suck, so will their fibre optic services."

The reality is that setting up a cyber cafe is a very risky proposition. Returns are a distant likelihood, and maintenance coupled with upgrades bleed money at a steady trickle. No one can shed more light on this aspect than Yogesh: "I was struggling for 3 years... I am still investing in the infrastructure, it is hard to keep up with the latest technology. New games, new hardware and upgrades are a frequent money drain." Bhushan gets the last word in: "Most start-ups will have rents to deal with; will have to charge not more than Rs 20 per hour and the price will only go down... You will never be able to break even for 2 or 3 years. You are an idiot if you want to put up a cyber cafe." ■

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It's in the book

Post 9/11, cyber cafe owners are required to register all customers' name and address information. Furthermore, they are to keep in touch with their local police station, as Vishal Kandoi of Cupid's Nest explains:

"We need to fill forms at a police station, in addition to registering ourselves as a cyber cafe." As Dhiraj Gejria, FastMindz, further adds, "To become a member, you need to fill in two forms, submit two photos (one for an ID and the other for our reference). Each cyber cafe manager is required to maintain user information by cyberlaw. If I know your name, it is good for both the relationship and for legal issues." For most owners however, the law is another hurdle, more red-tape to get around.